

complaint

Mr T and Mr Y complain that Aviva Insurance Limited unreasonably declined a claim they made following the theft of their vehicle and then cancelled Mr T's motor insurance policy.

background

Mr T included Mr Y on the policy as a named driver. After their car was stolen, Aviva found that previous claims and convictions for Mr T and Mr Y had not been disclosed. It decided to cancel the policy on the basis of non-disclosure, rather than void it, as it would have offered cover to Mr T and Mr Y (but on different terms) had it been informed of all the facts at the outset. Consequently, the policy was in force at the time of the theft, but investigators then discovered that the spare key had been left in the glove box by Mr Y. Aviva repudiated the theft claim, based on the policy exclusion relating to '*keys in car*'.

Our adjudicator upheld the complaint. In her view, Aviva was entitled to cancel the policy for non-disclosure. However, she considered that the theft claim should have been covered, as in her opinion Aviva had not highlighted sufficiently the '*keys in car*' policy exclusion to Mr T and Mr Y. Aviva pointed out that the exclusion was contained in the policy summary, as per guidance from this service, under the heading "*significant or unusual exclusions*". It also provided evidence that it had informed Mr T that the claim was being declined due to that exclusion, contrary to the adjudicator's assertion.

I was minded to conclude that the decision to decline the theft claim was fair and reasonable. The adjudicator had concluded, in essence, that the '*keys in car*' exclusion was 'buried' within the policy summary in the middle of a block of text and was therefore difficult to locate. I was minded to conclude that although the policy summary may have been longer than usual, the first page was purely a cover sheet, the second page was very clear and easy to read, and the significant and unusual exclusions were set out on the third page.

I was also minded to conclude that it was not unreasonable for Aviva to have expected Mr T to read at least the first two or three pages of a summary headed '*Key facts*' and to note a heading (in bold) containing the words '*significant or unusual exclusions*'. Although I did consider that there was a fair amount of text on the page, on balance, and looking at the way the information was set out as a whole, I was minded to conclude that the exclusion was sufficiently highlighted.

I asked the parties to provide any further comments or evidence following my provisional decision within one month. Aviva accepted the decision without further comment. Mr T and Mr Y did not accept it, but made no further comment either.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

As the parties have not commented on the findings set out in my provisional decision I see no reason to depart from the provisional conclusions therein. I consider Aviva acted fairly and reasonably in dealing with Mr T and Mr Y's claim and that there is no basis on which to uphold their complaint.

my final decision

My final decision is that I do not uphold this complaint.

Susan Ewins
ombudsman